

DISSENTING OPINION BY Mr. HUDSON.

This is the first occasion in its history upon which this Court has upheld a preliminary objection not offered as a challenge to the Court's jurisdiction. The taking of this step is a matter of importance, and as I am unable to share the views which have led to it, I feel that it is incumbent upon me to set forth my opinion in dissent.

At the threshold of this case is the question whether the two objections presented by the Lithuanian Government—the one relating to the national character of the Estonian claims at the time of the injury complained of, and the other relating to the alleged non-exhaustion of local remedies—have a character which requires them to be dealt with as preliminary objections. The Estonian Government contends that the objections lack this character, that instead of being preliminary objections they are in reality defenses offered by the Lithuanian Government to the action instituted by Estonia, and that they should therefore be rejected as preliminary objections.

To a certain extent, it may be thought that this question has already been answered, for in two stages procedural provisions of Article 62 of the Rules of Court have been applied to the Lithuanian objections. In a first stage, paragraph 3 of Article 62 of the Rules providing for the suspension of the proceedings on the merits and the fixing of time-limits for the presentation of observations on the objections, was applied as a matter of routine by the President's Order of March 15th, 1938. In a second stage, paragraph 5 of Article 62 of the Rules providing for a possible joinder of objections to the merits, was applied by the Court's Order of June 30th, 1938 (Series A/B, No. 75). Yet it was expressly stated in the Court's Order (p. 6) that, "at the present stage of the proceedings, a decision cannot be taken either as to the preliminary character of the objections or on the question whether they are well-founded"; it being thought that "any such decision would raise questions of fact and law closely linked to the merits". Even if it must be said, therefore, that in June of last year the Lithuanian objections were found to have a preliminary character for the purpose of applying a procedural provision in Article 62 of the Rules, the question is still open whether at the present stage of the case the objections have such a preliminary character that the Court is now required to deal with them before proceeding to give a judgment on the merits.

The purpose of the joinder effected by the Court's Order of June 30th, 1938, was stated to be to enable the Court to "adjudicate in one and the same judgment upon the objections and, if need be, on the merits". If either of the objections has preliminary character, it is now for the Court to adjudge whether it is well-founded. If either objection does not have preliminary character, it should be rejected by the Court; but as the Court recognized at least implicitly in the Borchgrave case (Series A/B, No. 72), the rejection of an objection will not prevent the same question from being raised as a defense to the merits of the case.

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It is essentially a question of procedure whether an objection has preliminary character. The answer to this question is not to be found in the Statute of the Court, for preliminary objections are not there referred to; the framers of the Statute wisely left to the Court (Art. 30) a wide latitude in framing "rules for regulating its procedure". Nor is the question answered by the Rules of Court adopted in pursuance of the provision in Article 30 of the Statute. The 1922 Rules included no mention of preliminary objections; Article 38 of the 1926 Rules, which was continued without change in the 1931 Rules and which served as the basis of Article 62 of the 1936 Rules, contained no definition of a preliminary objection; and Article 62 similarly leaves open the question now before the Court. One may say that Article 62 of the 1936 Rules furnishes some aid for framing a definition in the distinction so sharply drawn between proceedings relating to the merits and proceedings relating to an objection; but much more is needed for definite guidance. It would seem that when the Rules on preliminary objections were being drafted, the attention of the Court was chiefly concerned with objections to jurisdiction (Series D, addendum to No. 2, pp. 78-94; third addendum to No. 2, pp. 84-97, 148-150, 644-649, 705-708).

One turns next, in search of the elements of preliminary character, to the jurisprudence of the Court. When it was first confronted with an objection, in the *Mavrommatis* case in 1924, the Court referred to the silence of the Statute and Rules regarding the procedure to be followed, and asserted a "liberty

to adopt the principle which it considers best calculated to ensure the [good] administration of justice, most suited to procedure before an international tribunal and most in conformity with the fundamental principles of international law" (Series A, No. 2, p. 16). Though objections have been made in a number of cases before the Court, it has not always been necessary to adjudicate upon them. In a number of cases objections relating to the Court's jurisdiction have been upheld; in a somewhat larger number of cases such objections have been rejected. Indeed, objections which have been the subject of adjudication have related almost invariably¹ to the jurisdiction or competence of the Court. It may be partly for this reason that the adjudications have not established any criteria for determining when an objection is to be classed as preliminary.

Nor can definite criteria for determining preliminary character be derived from a study of the jurisprudence of other international tribunals. The procedure of such tribunals varies greatly, and it is not infrequently shaped with reference to special provisions in the *compromis* creating the tribunal. For example, the claims commissions set up a decade or more ago by Mexico in co-operation with the United States of America, Great Britain, France, Germany, Italy and Spain, employed various forms of dilatory pleas—demurrers, motions to dismiss, motions to reject, and motions to declare claims inadmissible; and these forms were made to serve a variety of purposes. (See Feller, *Mexican Claims Commissions*, 1935, pp. 241-246.)

Leaving aside objections relating to the Court's jurisdiction either *ratione personæ* or *ratione materiæ*, can any logical line be drawn which would determine the preliminary character of an objection? It serves little purpose to say that any objection is preliminary which is presented as a bar to the consideration of a case on the merits; that merely has the effect of replacing one problem by another—it would substitute the problem of defining merits for the problem of defining preliminary objections.

If the Court is not bound by logic to give a particular solution to this procedural question, it is bound to consider the consequences which its own system of procedure would attach to a determination that an objection is preliminary. Not all

¹ An objection to the admissibility of the suit was overruled in the case relating to German interests in Polish Upper Silesia (Series A, No. 6, pp. 18-21); and a *fin de non-recevoir* "incidentally raised" in the same case was also rejected (pp. 21-22).

of these consequences are set forth in Article 62 of the Rules of Court. The filing of a preliminary objection has the effect of suspending the normal course of the procedure in a case, and for the normal procedure it substitutes at least temporarily a special procedure relating to the objection only. In a sense, it may be said that the proceeding on the preliminary objection is independent of the proceeding which for the time being it replaces. A new entry of it is made in the "General List of cases submitted to the Court" provided for in Article 20 of the Rules; thus, No. 74 of that list is entitled "Panevezys-Saldutiskis Railway (merits)", while No. 76 is entitled "Panevezys-Saldutiskis Railway (preliminary objections)". (See Series E, No. 14, pp. 108-109.) In the new proceeding, the State which has presented the objection occupies a position in some respects equivalent to that of an applicant. (Series E, No. 3, p. 207.) Under the practice and procedure now prevailing, unless a preliminary objection is sustained, the parties thus have to bear the burden of an expenditure of time, effort and money for what is, in fact, a double appearance before the Court.

It must be admitted that the consequences which attach, or may attach, to the presentation of a preliminary objection under the present practice are therefore serious, so serious that the Court can hardly be justified in greatly enlarging the category of preliminary objections. Objections to the jurisdiction of the Court have a character which definitely stamps them as preliminary; but it is not necessary that objections which do not relate to the Court's jurisdiction should be too readily admitted to that category. No essential interest will be neglected if in some cases—perhaps the lines are not to be rigidly drawn in advance—the objection is denied to have a character which requires it to be considered apart from and in advance of the defenses offered on the merits.

I conclude, therefore, that the Court must reserve to itself some latitude in dealing with objections presented as preliminary, and that in exercising the "liberty to adopt the principle which it considers best calculated to ensure the [good] administration of justice", it may hesitate to admit the preliminary character of certain types of objections which do not raise questions of jurisdiction.

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After these preliminary observations, I must address myself to the special problem of this case, whether the two objections

presented by the Lithuanian Government should be said to have preliminary character in the sense that they must be considered apart from and prior to any consideration of the defenses on the merits which have been advanced by Lithuania.

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It may first be observed that neither of the Lithuanian objections can be said to relate to the jurisdiction of the Court to deal with this case. The Estonian application referred to the declarations made by Estonia and Lithuania under Article 36, paragraph 2, of the Statute; and the Lithuanian Government has at no time challenged this basis of the Court's jurisdiction. The question raised by the first objection as to the national character of the Estonian claims is sometimes said to relate to the qualification of the State to espouse a claim; but it is in no sense a question as to the competence of the Court. Cases might arise in which the exhaustion of local remedies would be presented as a jurisdictional question—for example, Article 31 of the Geneva General Act of September 26th, 1928, follows provisions in numerous arbitration treaties in permitting a party to a dispute to object to the dispute's "being submitted for settlement by the different methods laid down in the present General Act" until its competent judicial or administrative authority has pronounced a final decision; but no such provision obtains between Estonia and Lithuania.

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I agree with the conclusion reached by the Court that the first Lithuanian objection, to the effect that the Estonian Government has failed to observe a rule of international law which requires that "a claim must be a national claim not only at the time of its presentation but also at the time when the injury was suffered", is not a preliminary objection in the sense that it must be considered by the Court apart from and prior to a consideration of defenses presented on the merits.

The objection would call for a decision by the Court, not only as to whether such a rule of international law exists, but also as to its applicability to the facts of this case. Assuming that the rule may be said to exist, Estonia cannot be found to have failed to observe it in this case without an enquiry into numerous questions which have been raised in presenting the case on its merits. Asked to say whether Estonia's claims possessed Estonian national character at the time of the injury

complained of, the Court can reply to this question only after enquiring into the effect of various Soviet decrees on the existence of the Russian company, the effect of certain provisions of the Treaty of Tartu between Estonia and the Russian Socialist Federated Soviet Republic, the application of Estonian laws concerning Russian companies, the extent to which the alleged change of nationality of the Russian company was voluntary, and other questions. In other terms, the objection raises the principal question discussed in connection with the merits, that of the identity of the *Esimene* Company with the Russian company, or of the former's succession to the latter.

Where an objection thus raises so many of the questions which pertain to the merits of a case, no useful purpose is to be served by requiring it to be dealt with apart from a consideration of the merits. Hence, this first Lithuanian objection should be rejected as lacking a preliminary character.

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I cannot agree with the conclusion reached by the Court that the second Lithuanian objection, based upon the alleged "non-observance by the Estonian Government of the rule of international law requiring the exhaustion of the remedies afforded by municipal law", has a preliminary character which requires it to be dealt with apart from and prior to a consideration of the defenses presented on the merits, and which in this case justifies a holding that the Estonian claim cannot be entertained. In my view, the objection lacks that character, and it ought to be rejected; hence the Estonian claim should be entertained, even if the principal Estonian submissions should later have to be rejected because of the non-exhaustion of local remedies.

It is a very important rule of international law that local remedies must have been exhausted without redress before a State may successfully espouse a claim of its national against another State. This is not a rule of procedure. It is not merely a matter of orderly conduct. It is a part of the substantive law as to international, i.e. State-to-State, responsibility. If adequate redress for the injury is available to the person who suffered it, if such person has only to reach out to avail himself of such redress, there is no basis for a claim to be espoused by the State of which such person is a national. Until the available means of local redress have been exhausted, no international responsibility can arise.

This is not a rule of thumb, however, to be applied in a more or less automatic fashion. In each case account is to be taken of the circumstances surrounding the means of redress which a State may hold out to the nationals of other States, and the facts may justify an international tribunal in saying that international responsibility has arisen even though local remedies have not been exhausted. Hence it is sometimes said that there are exceptions to the rule; that the rule does not apply if in fact there are no local remedies to exhaust, or if it can be known in advance that the exhaustion of local remedies would yield no redress.

The second Lithuanian objection raises the question whether the rule is to be applied on the facts of this case. Even if this question is susceptible of segregation, I can see no advantage in saying that it must be dealt with apart from and prior to a consideration of the defenses made on the merits. It is a question of substantive law. As such I think it can better be dealt with as one of the defenses to the Estonian case, along with the other defenses advanced. This solution would have the added advantage of enabling the Court to deal with the other defenses, and perhaps thus to contribute more helpfully to a settlement of the dispute between the Parties.

(Signed) MANLEY O. HUDSON.
